

HEADLINE JUDGMENT

Score HOLDS at 27/30 for a tenth consecutive edition. No channel moved. But on 19 August the issuer intervened in the price of its own long-dated debt, and the rates and dollar complex reversed in one session, while oil, breakevens and equity volatility did not. Before the New York open on Wednesday, and outside the quarterly refunding cycle, the US Treasury announced that it will at least double the size of its liquidity-support buyback operations in the 10-to-20 year and 20-to-30 year sectors, from a \$2bn maximum per operation to at least \$4bn, effective 9 September and running to 4 November. The 30-year fell 9.15 bp to 5.1911% — the second-largest one-day fall of the war, and at 11.49 bp over two sessions from Monday's war high of 5.3060% the largest two-session fall the war has produced. The dollar fell 0.824 to 98.833, its lowest close since 14 May; 2s10s flattened 5.10 bp; MOVE fell 3.72 to 71.26. Stage-4 Threshold B lapsed. The two scheduled events that were supposed to set the session were both adverse, and both were swamped. The \$16bn 20-year auction cleared 5.204%, the second-highest 20-year auction yield since the tenor was reintroduced in 2020, and the July FOMC minutes showed 'many' participants judging that tightening would likely be necessary if inflation did not decline — the record of a 9–3 hold in which all three dissents were for a HIKE. Neither mattered. The long end rallied through both. The analytical point is the one this document exists to make, and \$9.31 warns that an improvement narrative is the one a reader most wants to believe: a long end that falls 9 bp because the borrower has doubled its own bid is not the same thing as a long end that falls because the risk has receded. Jefferies' Thomas Simons made the forward point to Reuters — because the announcement came outside the refunding cycle, it can be repeated at any time, and it raises the prospect that long-end auction sizes are cut. Second, the war produced the broadest economic instrument any Gulf state has yet used, and the first to reach financial transactions. The UAE announced early on 19 August that all trade, commercial exchanges and financial transactions with Iran have been halted until further notice, in response to the two ballistic missiles fired at its territory on 18 August — which its Ministry of Defence says were 'targeting maritime navigation'. Dubai had quietly become Iran's largest trading partner, supplying roughly one third of everything Iran imports annually, ahead of China and Türkiye, and serving as its principal discreet channel for moving money. The 14 August 'piracy' attribution produced no instrument; two ballistic missiles produced this in 36 hours. Third, the shipping story of the week has been reframed by the provider that produced it. CNN reported on 18 August, citing Kpler, that more than 80% of Hormuz liquids transits over the past fortnight took the Omani route 'or have been dark transits that likely took the Omani route', with Kpler's head of crude analysis saying Iran 'has at least partially lost control of the strait'. Kpler's own publication the next day says something materially different: the southern Omani corridor 'was effectively gone by Week 4 after attacks on vessels using it', the IMO route has been at zero since Week 5, and the figure above 80% is a Dark/Unknown share — with zero crossings route-confirmed as Omani in the week to 16 August. CNN's formulation collapses a route-confirmed share and a dark share into one figure; Kpler's own publication separates them. \$9.24 applies: name the denominator. Fourth, the standing crude-imports test resolves against the dislocation reading. EIA's weekly for the week to 14 August put crude imports back at 6.6 mb/d with a four-week average of 6.5: the 7.3 mb/d print of the prior week was a one-week outlier, not a new run rate, and \$9.28's follow-up question is answered. The same report confirms the SPR at 293.4 mn bbl, down 5.3 mn and the lowest since December 1982, and cuts distillate stocks to 105.6 mn bbl, 13% below the five-year average — and does so DESPITE refinery utilisation of 97.2%, the highest since September 2019. Fifth, and the only live scoring question in the document: oil keeps closing in. Brent closed \$89.79 on 19 August, a fourth consecutive up-close and the highest since 31 July; the active contract closed \$91.62, the highest since 24 July. The upgrade is \$5.21 away on the scored series, \$3.38 on the active close, and \$3.03 on Thursday's intraday active print — a fourth consecutive edition of narrowing. Against all of this the physical record is empty: no UKMTO Update 087, no new numbered incident, no CENTCOM release, and no kinetic event anywhere in the theatre dated 19 or 20 August. CENTCOM's combat index still shows nothing inside Iran since 29 July, now 22 days. That silence is the single reason full war sits at 24% and not higher, and it is also why the score cannot move: five of six channels are pinned at the top of the scale, and the sixth is three points below it. Sequencing 27 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

20 Aug 2026 readings are intraday prints from the Singapore Thursday morning. The last confirmed close, and the scoring reference throughout, is 19 August. d/d is 20 Aug intraday vs the 19 Aug close. The two w/w bases diverge this edition and are labelled separately (\$9.20): five sheet-rows back from the latest row is 13 Aug, and five rows back from the confirmed close is 12 Aug. vs-pre-war is against the 27 Feb 2026 close, re-verified field by field and unchanged. The \$9.8 row check CLEARS decisively — every populated field of the 19 Aug row differs from the snapshot the last edition published for it. The field-level test under the corrected \$9.35 returns NO exact-equality flags on any of the last three rows. Two series backfilled and are reported as new prints, not carries: SOFR for 17 and 18 August at 3.66 and 3.65, and AUTMUSAG at \$4.79 for 18 August (\$9.10). Basis note: the press quotes the ACTIVE contract; the scored CO2 continuation prints about \$1.92 below COA.

Benchmark	Intraday 20 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$90.05 /bbl (H 90.34 / L 89.62)	+\$0.26 (+\$4.83 w/w vs 13 Aug)	from \$72.48 (+24.2%) — a \$17.57/bbl premium. The overnight low of \$89.62 sits below Wednesday's close and the range is a narrow 72 cents, so the Thursday tone is firm but not extending. Active COA prints \$91.97, which is \$3.03 from the \$95 upgrade trigger. See the roll disclosure in section 2.1 before reading that as a record proximity	CO2 Comdty (Close)
Brent · 19 Aug close (last confirmed — the scoring reference)	\$89.79 /bbl	+\$0.34 vs the 18 Aug close \$89.45 (+\$2.97 w/w vs 12 Aug)	The highest Brent close since 31 July (\$90.12) and a FOURTH consecutive up-close (14, 17, 18 and 19 Aug), which the 20 Aug intraday extends to a fifth session if it holds. It leaves the channel \$5.21 below the \$95 upgrade trigger and \$17.31 above the \$72.48 downgrade anchor. The upgrade gap has now narrowed in four consecutive editions — 9.78, 8.43, 5.55, 5.21 — though this edition's narrowing of 34 cents is an eighth of the last one's \$2.88. On the active contract the upgrade leg is \$3.38 away and COA's \$91.62 close is its highest since 24 July. Still \$28.56 below the 31 Mar war high of \$118.35	CO2 Comdty (Close)

Benchmark	Intraday 20 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
RECONCILIATION — the 19 August snapshot OVERSTATED the tape, and by the largest long-end margin on record	Brent closed \$89.79 vs \$90.24 carried	gap −\$0.45	The mirror image of Monday. Every asset settled below the Singapore print: Brent −\$0.45, COA −\$0.19, WTI −\$0.53, TTF −€0.809, DXY −0.816, and on the curve −9.68 bp on the 30-year , −5.10 on 2s10s and −1.06 on the 2-year. THE 5- AND 10-YEAR ARE EXCLUDED FROM THIS TABLE ON PURPOSE. Both were published last edition as UNRESOLVED because they printed identical to four decimals, and \$9.35 forbids asserting a day-on-day change for such a field. A gap measured against a carry measures staleness, not the timing of the Singapore cut, and is not a reconciliation. The 30-year, 2s10s and 2-year snapshots were all live prints that differed from the prior close, so those three are measured. The 30-year gap of 9.68 bp is larger in absolute terms than any long-end reconciliation this monitor has recorded — the previous largest was +7.59 bp on 31 July — and it is the first of any size in which the snapshot OVERSTATED yields. Running Brent gap series: +\$2.26, +\$0.72, +\$0.87, −\$0.13, +\$1.29, +\$2.60, −\$0.45 . Cause: the Treasury buyback announcement landed on Wednesday morning New York time, hours after the Singapore cut (\$9.1, \$9.17). WITHDRAWN BY NAME (\$9.20): the last edition reported a 19 August TTF intraday of €64.190 as standing above the €63.649 war record on an intraday basis. TTF CLOSED €63.381 — twenty-seven cents BELOW the record. Also withdrawn: the 18 August trigger distances published last edition, a 5Y5Y gap of 18.23 bp and a 30-year leg of 28.58 bp, which the restatement puts at 17.87 and 28.26	CO2 Comdty / derived
WTI front-month	\$84.61 /bbl	+\$0.22 (+\$4.17 w/w vs 13 Aug)	from \$67.02 (+ 26.2%) — the 19 Aug close of \$84.39 is the highest since 24 July. CLA prints \$86.12 against CL2's \$84.61; the continuation artifact has widened to about \$1.51	CL2 Comdty (Close)
Brent–WTI spread	\$5.44 /bbl front	\$5.40 on the 19 Aug close, from \$5.39 on 18 Aug	\$5.85 on the active contracts intraday and \$5.79 on the 19 Aug close, from \$6.08 and \$6.37 earlier in the week. The active spread peaked at \$6.37 on 17 Aug and is NOT a war record — the war high is \$6.82 on 5 May . The active spread narrowed on two consecutive sessions from that peak and has widened again on the 20 Aug intraday, while the front spread widened on both sessions; there is no basis on which it has narrowed for three sessions and none is claimed. It remains a watch item rather than a finding	derived
Henry Hub natural gas	\$2.784 /MMBtu	−\$0.030 (+\$0.057 w/w vs 13 Aug)	from \$3.06 (− 9.1%) — the 19 Aug close of \$2.814 is the highest since 24 July , having been within five cents of the \$2.640 war low two sessions earlier. Henry Hub is still the cleanest evidence in the document that this is a Hormuz routing dislocation and not a global-energy shock: US gas closed 8.1% BELOW its pre-war level while European gas trades at more than double its own	NGA Comdty (Close)
TTF Dutch gas (active)	€64.400 /MWh	+€1.019 (+€4.000 w/w vs 13 Aug)	from €31.23 (+ 106.2%). The war record on CLOSSES is unchanged at €63.649 (24 July). The 18 August close of €63.646 missed it by three-tenths of a cent; the 19 August close fell to €63.381. This is the second consecutive edition in which the Singapore intraday print has exceeded the record close without a close doing so — and last edition's €64.190 intraday settled €0.81 lower. The €64.400 print here is treated the same way: above the record, but an intraday print does not set one. Cited drivers unchanged: Qatari cargo delays, and EU storage reported ~15 bcm below the five-year average	TZTA Comdty (Close)
Japan/Asia LNG (19 Aug close — no 20 Aug print)	¥3,527	+¥80 vs the 18 Aug close ¥3,447	from ¥1,669 (+ 111.3%) — the highest close since 24 July (¥3,593) , and a fourth consecutive rising print (3,363 / 3,434 / 3,447 / 3,527). No 20 Aug print; flagged and NOT carried as a reading (\$9.2). The level could not be corroborated outside the terminal and is single-sourced. Hormuz normally moves roughly a fifth of global LNG, and Kpler reports LNG carriers running dark since resuming in late July, with LPG crossings at zero since mid-July	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

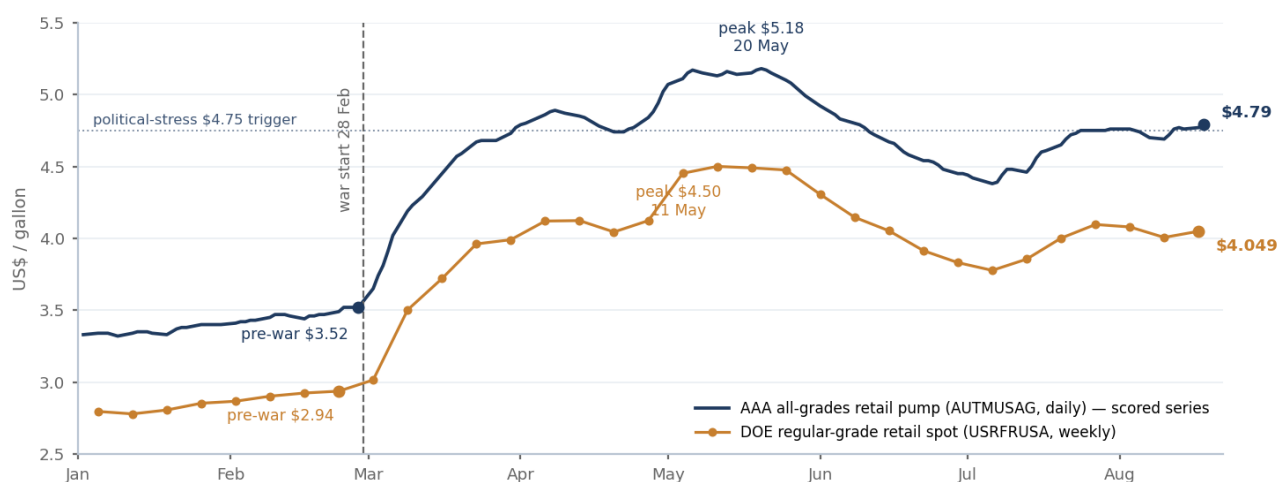
The curve printed on every session and there are no exact-equality flags this edition. Triggers and Stage-4 tests run on the **19 Aug close**. The corrected **\$9.35** passed its first live test. The last edition observed the 5-year (4.3656) and 10-year (4.7060) printing identical to four decimals on 18 and 19 August and, under the corrected rule, reported both as UNRESOLVED rather than as a flat market. **Both were carries**. The 19 August closes settled at **4.3426 and 4.6466 — falls of 2.30 and 5.75 bp**. Had the old \$9.25 been applied, the LAST edition would have published an unchanged 5- and 10-year into what turned out to be the largest two-session long-end rally of the war. **Separately, the 18 August row was restated** (\$3): the 10-year to 4.7041, the 30-year to 5.2826, 2s10s to 53.106, BE10 to 2.3097 and 5Y5Y to 2.3207. All trigger distances below use the restated figures; directional analysis is continuous, absolute levels are not comparable with the last edition.

Tenor / measure	19 Aug close	Δ d/d	Δ w/w (vs 12 Aug)	Reading	20 Aug intraday
2-year	4.1623%	−0.86 bp	−3.88 bp	The short end barely moved: 0.86 bp against the 30-year's 9.15. This was not a Fed repricing . +78.74 bp vs pre-war	4.1600%
5-year	4.3426%	−2.30 bp	−3.91 bp	Resolves the field flagged UNRESOLVED last edition . +84.09 bp vs pre-war	4.3355%
10-year	4.6466%	−5.75 bp	−4.59 bp	The first close below 4.65% since 13 August , and the leg that broke Threshold B. +70.91 bp vs pre-war	4.6367%
30-year	5.1911%	−9.15 bp	−6.63 bp	The second-largest one-day fall of the war (only 24 June, −10.57 bp, was larger) and the first close below 5.20% since 5 August . Measured from Monday's war high of 5.3060%, the two-session fall of 11.49 bp is the largest the war has produced . It closed 2.49 bp BELOW the 13 August auction stop of 5.216% and 14.11 bp above the 13 May stop of 5.050%. Still +58.05 bp vs pre-war	5.1838%
2s10s (separate ticker; does not tie exactly to its legs)	48.009 bp	−5.10 bp	−0.92 bp	The fourth-largest one-day flattening of the war and the flattest since 11 August, reversing four sessions of bear steepening in one. A bull flattener driven entirely by the long end — the 2-year did not participate. 7.63 bp flatter than pre-war	47.459 bp
10-year breakeven	2.3078%	−0.19 bp	+4.25 bp	Essentially unchanged on the day and 5.09 bp above the 2.2569% pre-war anchor . The 18 August close of 2.3097% remains the highest since 15 June . Inflation compensation did NOT come down with nominal yields, which is the tell: the rally was in real yield and term premium, not in expected inflation	2.3073%
5y5y forward	2.3106%	−1.01 bp	−3.79 bp	A FOURTH consecutive close above the 2.30% level whose sustained break fired this channel 4→5 on 31 July , by 1.06 bp. The documented downgrade at the 2.142% anchor is 16.86 bp away, narrowed from 17.87 — its first narrowing in three editions (\$9.16, \$9.26)	2.3190%
MOVE (rate volatility)	71.26	−3.72	−0.83	Back below both 75 and the 73.38 pre-war anchor, and the lowest since 14 August . The volatility leg of the Treasury downgrade is satisfied, as it was on 18 August at 74.98, but now by a 3.74-point margin rather than by 0.02. It is not a war low: the series low is 65.39 on 18 June and the 16–21 July and 10 Jun–10 Jul runs both ran lower for longer (\$9.32)	no print
VIX	14.89	−0.95	+0.34	Below its pre-war 19.86 and within 0.64 of the 14.25 series low set on 14 August. Equity volatility has fully normalised against a strait that has not	no print
SOFR	no 19 Aug print	—	—	Backfilled for 18 August at 3.65 and for 17 August at 3.66 — new prints the last edition did not have (\$9.10) . Blank on 19 and 20 August; not carried	no print

Cross-asset stress and political-transmission gauges — Bloomberg and Tier 1 primary sources

Gauge	19 Aug close	Δ d/d	vs pre-war	What it says
DXY dollar index	98.833	-0.824	97.608 (+1.3%)	The lowest close since 14 May and the fourth-largest one-day fall of the war. Bloomberg headlined it 'Dollar Tumbles to Weakest in Three Months on Treasury Buyback'. Cross-market on the same driver: EUR/USD above 1.1675, GBP/USD above 1.3600, gold toward \$4,500. A falling dollar alongside a falling long end and unchanged breakevens is the signature of a supply-side intervention, not of receding risk. The 20 Aug intraday holds it at 98.830
MOVE / VIX	71.26 / 14.89	-3.72 / -0.95	73.38 / 19.86	Both below pre-war. Threshold C sits 58.74 points away and the war high is 115.02 (26 March); the series low is 65.39 (18 June), so this is NOT the furthest from C the war has been (\$9.32). The number that matters remains the pairing: rate volatility below its pre-war anchor while the 30-year sits 58.05 bp above its own
AAA all-grades retail pump (scored)	\$4.79 (18 Aug)	+2c vs 17 Aug	\$3.52 (+36.1%)	BACKFILLED — a new print the last edition did not have, and the highest since 8 June (\$4.80). It is 4 cents above the \$4.75 trigger that fired this channel to 5 on 4 August, and the named \$4.60 downgrade condition is now 19 cents away, WIDENED from 17. No print for 19 or 20 August. \$9.30 applies in the same direction it did a fortnight ago: dark sessions backfilled UP
AAA national averages (Tier 1, gasprices.aaa.com)	regular \$4.0860 · diesel \$5.5042	+2.06c / +3.65c	n/a	AAA diesel made a new war high on 19 August and is now 31.17 cents below its all-time record of \$5.8159. Regular is up 5.0 cents on the week, diesel 14.7. AAA's own site: 'After Falling for a Week, National Average Climbing Again'. Do not merge this with the scored AUTMUSAG series — different grades, different construction. No 20 August publication at the time of writing
DOE weekly retail regular (corroboration)	\$4.049 (week of 17 Aug)	+4.3c	~\$2.94	Unchanged this edition — the survey publishes Tuesdays and the next print is 25 August. The on-highway diesel average of \$5.454 was up 19.7 cents on the week against gasoline's 4.3. The values could not be re-verified outside the terminal this edition and are carried with that flag. EIA no longer publishes 'This Week in Petroleum'
US front-month diesel crack	≈\$101.2 /bbl (derived, 19 Aug)	no published print	~\$42.01 (27 Feb)	No new record. The all-time high stands at \$102.20 intraday and \$101.86 settle on 17 August, the first triple-digit settle in history. The 19 Aug figure is DERIVED from the ULSD September settle of \$4.4523/gal against WTI September and is labelled as such; no outlet published a crack figure for 19 or 20 August. Distillate stocks are now 105.6 mn bbl, 13% below the five-year average — a 1.5 mn bbl weekly draw from the 107.1 this document was carrying, not a restatement of it. Note two unresolved source conflicts: the pre-2026 record is given as \$89 (Bloomberg) or \$86.82 (DTN), and the stocks comparison as 'lowest for the time of year since 1996' or 'since 1998'

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest print **\$4.79 on 18 Aug, backfilled this edition**; 19 and 20 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is corroboration only (pre-war ~\$2.94, peak \$4.50, latest **\$4.049 for the week of 17 Aug**). The dotted line is the \$4.75 political→5 threshold. **The navy line has now closed above the trigger on six consecutive prints and is at its highest since 8 June.** The six-session decline that took it to \$4.69 on 10 August has been fully round-tripped and then some. **The two series point the same way and the divergence that matters is inside the barrel, not between them:** retail diesel is rising three times as fast as retail gasoline, which is what a distillate shortage looks like by the time it reaches a forecourt.

Strait operational state

Item	State as at 20 Aug 2026	Source / tier
UKMTO / JMIC advisory	NO UPDATE 087. Update 086 (ICOD 181500Z) remains the latest product, and the cumulative count remains 91 — tested directly against the standard naming for 19, 20 and 21 August and against the advisories, weekly-reports and recent-incidents indexes, all of which render empty to an anonymous fetch. No new numbered incident (116-26 or later) exists. Threat levels unchanged: Hormuz SEVERE — deliberate hostile action 'considered highly likely' — Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL, Arabian Gulf and Arabian Sea MODERATE. VRA Overview No.3 has not been published ; No.2 of 14 August remains current. Update 081 is unretrievable for a sixth consecutive edition	UKMTO Update 086, re-fetched 20 Aug (Tier 1 primary)
Incident 115-26 — the vessel is now identified and the casualty conflict resolves	UKMTO records a vessel struck by an unknown projectile in the engine room 0.5NM off Oman while transiting southbound, one crew fatality , Omani Coast Guard assisting. The vessel is the MINOAN DIGNITY (IMO 9294484), a 76,800 dwt Liberia-flagged, Greek-managed bulk carrier ; INTERCARGO confirms one seafarer dead and the dead man is identified as the chief engineer. The casualty conflict resolves in favour of a fatality , against The National's 'injured'. Two things do not resolve and are reported rather than smoothed : UKMTO types her a general cargo ship while AIS and trade press type her a bulk carrier; and Windward reports she had been AIS-dark for about three weeks, was transmitting for the first time at the moment of the strike, last broadcast an Iranian port, and shares beneficial ownership with MINOAN PIONEER, struck on 4 August — which points at commercial management rather than opportunity	UKMTO 086 (Tier 1) / INTERCARGO via Maritime Executive, 18 Aug (Tier 2) / Windward MIOC, 19 Aug (Tier 2)
Hormuz transit counts — seven providers, each with its own denominator, never averaged (\$9.24)	NOTHING AT ALL exists for 19 or 20 August from any provider. UKMTO annex (S&P/SeaVision), the only primary series: cargo 5/0/0/0 and tankers 0/0/0/3 across 14–17 Aug, against a ~138/day 2025 baseline; 15 and 16 August are zero cargo AND zero tankers, re-verified verbatim. US NCAGS-facilitated 42 over the 16–17 Aug 48 hours — a facilitated subset, never added to the others. Kpler via Reuters: 3 (15 Aug), 2 (16 Aug), 6 revised to 9 (17 Aug), 6 (18 Aug), against a stated 10-day average of 11 and a pre-war ~130–140/day; Kpler's preliminary dailies revise UP, so no day-on-day delta should be computed off a same-day print. Windward (broadest — adds satellite detection): 15 contacts on 18 Aug, 13 identified plus 2 imagery-only, 6 in / 9 out, and 6 of the 15 running dark ; Windward publishes no denominator and warns its series is sensitive to collection effort. TankerMap (AIS tankers only): 3 on 18 Aug, 2 on 19 Aug, 7-day average 1.7 against its own ~21/day — and its own headline text contradicts its own chart, so it is carried at low confidence. IMF PortWatch: still 1 for 16 Aug against its own ~73/day. Lloyd's List 78 for 3–9 Aug, no later brief; LSEG 11 for 11 Aug, nothing since. All AIS-derived figures above carry a hard caveat this edition: Windward recorded 615 GPS-jammed vessels in the Persian Gulf on 18 August, +261.2% against its own seven-day average, and 4,472 false ship-to-ship meetings in a single day.	UKMTO 086 annex (Tier 1) / Reuters citing Kpler, 19 Aug (Tier 1) / Windward, TankerMap, IMF PortWatch (Tier 2)
THE ROUTE STORY IS REFRAMED BY ITS OWN SOURCE	CNN (18 Aug, updated 19 Aug) reported that more than 80% of liquids transits over the past fortnight took the Omani route 'or have been dark transits that likely took the Omani route', with Kpler's Homayoun Falakshahi saying Iran 'has at least partially lost control of the strait'. Kpler's own publication of 19 August says the southern Omani corridor peaked at 48 crossings in Week 2 and was 'effectively gone by Week 4 after attacks on vessels using it', with the IMO route at zero from Week 5, leaving a Dark/Unknown share that never fell below 44% and closed the window above 80%. Kpler's own weekly for the week to 16 August splits 95 crossings into 51 Iranian Unilateral Scheme, 44 Route Undetermined, ZERO confirmed Hormuz TSS and ZERO confirmed Omani. The correct statement is that the dark/unknown share is above 80%, not that 80% is Omani. gCaptain reported the opposite conclusion on 14 August from AIS heat maps — that attacks pushed traffic TOWARD the Iranian route — and is consistent with Kpler's route-confirmed data	CNN, 18 Aug (Tier 1) / Kpler blog, 19 Aug (Tier 1 provider) / gCaptain, 14 Aug (Tier 2)
Throughput — three irreconcilable claims, presented side by side and NOT reconciled	Axios (19 Aug, two unnamed US officials): the US military runs a scheduled nightly convoy corridor along the southern Omani channel, 15–20 tankers in and out each night for the past fortnight, moving ~10 mn b/d out of the strait, 'roughly half the pre-war volume'; on the night of 18 August more than 20 ships were slated and 8 Iranian drones and 2 cruise missiles were shot down. Energy Secretary Wright (12 Aug): ~15 mn b/d of transits plus reroutes. Kpler (19 Aug): 2.3 mb/d of confirmed clearance in the final MoU week and 6.1 mb/d across the 60-day window, against ~15 mb/d in 2025 — a shortfall of about 550 mn bbl of crude over the window, bridged by inventory draws and truce-window buffers that thin from September. These are different measures on different bases. Report the spread	Axios, 19 Aug (Tier 1, unnamed) / CNN citing DOE, 12 Aug (Tier 1) / Kpler, 19 Aug (Tier 1 provider)
US naval blockade	64 commercial vessels redirected, three disabled, two boarded, as of 17 August — re-verified at source and unchanged. The figure is CENTCOM's, reproduced verbatim in UKMTO Update 086 §2C. No figure above 64 exists for 19 or 20 August, and the '91 redirected' caption on CENTCOM's own media page still conflicts with its own statement and is still NOT used. Trump on 18 August said the blockade remains in 'full force and effect'. Against it: the Washington Post reported on 18 August that DoD is assessing whether to pull troops back from the Persian Gulf, while a senior Pentagon official said Hegseth has NOT ordered a formal posture review and called it prudent planning — two unnamed sources, carried as reporting, not as policy. No Hegseth or SecDef statement 19–20 August could be sourced	CENTCOM via UKMTO 086 (Tier 1) / WaPo via Just Security, 19 Aug (Tier 1 outlet, Tier 2 sourcing)
CENTCOM combat activity	The public-releases index was read directly on 20 August. The most recent release describing a strike inside Iran is still 29 July — a 22-day gap. The most recent release of any kind is 15 August, on the CENTCOM commander's regional trip; there is no release dated 19 or 20 August. Note that the NEWS-ARTICLES index is stale to February 2026 and is not a usable channel — the PUBLIC-RELEASES index is the primary source and must be the one queried. Carriers: USS George Washington is en route to relieve USS Abraham Lincoln, which has been deployed 250-plus days; no confirmation of GW's arrival in the AOR, and nothing at all on USS George H.W. Bush, could be sourced for this window	centcom.mil public releases, read 20 Aug (Tier 1 primary)

Item	State as at 20 Aug 2026	Source / tier
Iran–Oman joint declaration — the gate on all mediation	NOT ISSUED. Both fm.gov.om indexes were read directly on 20 August and the exact queries are recorded here (\$9.23). Most recent item of ANY kind: 19 August — two homepage items, on Türkiye ties and on humanitarian efforts, neither Iran- nor Hormuz-related; the site footer confirms a 19 August update, while the dedicated news index had not propagated past 17 August at fetch time. Most recent Iran/Hormuz news item: 8 August (twelve days). Most recent Hormuz statement: 14 July (thirty-seven days). Most recent Oman–Iran joint statement: 23 June . Oman has still published nothing on the 14 August tanker attacks in its own territorial waters, nothing on the death aboard MINOAN DIGNITY 0.5nm off its coast with its own Coast Guard responding, and nothing on being threatened with US bombardment — a threat Trump made on Fox News on 17 August, corroborated by CNN, CBS, the Washington Post and Al Jazeera. Qatar's 18 August condition — that mediators return to push for US–Iran talks only after the Hormuz deal is announced — therefore remains a gate that has not opened	fm.gov.om, both indexes read 20 Aug (Tier 1 primary)
Red Sea and the wider periphery	Al-Mokha remains completely closed to commercial traffic after more than 25 cumulative missile impacts and berth fires, with seven dead and about \$16m of losses. Bab el-Mandeb ran 59 transits over the 16–17 August 48 hours — about 30/day against a ~61/day 2023 baseline, a shortfall of roughly half, and Kpler counted 30 weekend commodity-vessel transits against 19 the prior week, with no tracked Saudi oil. The Houthi claim to have struck Aramco's Jazan refinery on 18 August is now in its third day without Saudi or Aramco comment and without any Tier 1 corroboration — it is carried as a CLAIM only , unlike the confirmed 9 and 13 August strikes. The 400,000 b/d Jizan restart is still scheduled for 30 August with no revision found. Five vessels remain under pirate or unauthorised control (HONOUR 25, SWARD, EUREKA, ASANA, LUTUF) with 44 seafarers held and ransom demands escalated to \$10m; a 21-state combined task force was announced on 17 August. This is Somali-basin piracy and is kept segregated from the Hormuz count. NO kinetic event anywhere in the theatre is dated 19 or 20 August	UKMTO 086 (Tier 1) / Reuters citing Kpler, 19 Aug (Tier 1) / SABA (Tier 3), uncorroborated

2 · US economic shock — analysis with bond yields

2.1 · Bond-yield transmission, channel by channel

(i) What the market did. (ii) What it means for the channel. (iii) What would change the score. All tests run on the **19 August** close, the last confirmed one. **Wednesday** is the analytically important session and it needs to be read in the right order. The Treasury buyback announcement landed before the New York open; the 20-year auction cleared at 1pm; the FOMC minutes were released at 2pm. **The long end had already done most of its work by 09:00 ET**, down 7.8 bp on a Tier 2 intraday reading, and neither the auction nor the minutes reversed it.

(1) Oil price shock — held at 2/5, and closer to an upgrade than at any point since the July contract roll

(i) Brent closed **\$89.79**, up 34 cents and the fourth consecutive up-close, the highest since 31 July; the active October contract closed **\$91.62**, the highest since 24 July. WTI closed \$84.39. (ii) The upgrade trigger is a sustained Brent close above \$95 and it is **\$5.21 away on the scored series, \$3.38 on the active close and \$3.03 on Thursday's intraday active print**. That gap has narrowed in four consecutive editions. **The only named attribution is to risk perception rather than to any event this document can date**: Sparta Commodities' June Goh told Reuters that **'the shipping risks are increasing again as attacks from Iran and Houthis remain prevalent in both key chokepoints'**, and that OPEC production can only rise once flows normalise in both directions. **Note the tension: this window's own physical record shows no kinetic event and no new incident, so the quoted increase in risk is an assessment, not a count**. The unattributed drivers in Wednesday's wraps were the UAE embargo, an SPR at a 44-year low that Washington must eventually refill, Trump's confirmation that no negotiations are under way, single-digit transit counts, and US refinery utilisation at 97.2%, the highest since September 2019. (iii) Sustained closes above \$95 take the channel to 3 and the score to 28. **\$4(a) is decisive here: the trigger requires sustained closes, not a touch, and a single print through \$95 will not move it**. The downgrade leg — a mediated pause and a close at or below \$72.48 — is \$17.31 away on price and unavailable on process.

ROLL DISCLOSURE — a superlative check on the full series turned up something this document has to state plainly. The scored CO2 continuation shows closes of **\$100.69 on 23 July and \$96.78 on 24 July** — two consecutive closes above the \$95 upgrade trigger. **No upgrade was fired on those sessions, and none is fired retrospectively**. The reason is a contract-roll artifact rather than a scoring failure: on the same two days the ACTIVE contract closed **\$94.26 and \$91.68, both below \$95**, and the CO2/COA basis has since inverted — the continuation printed **\$6.43 ABOVE** the active on 23 July and prints **\$1.92 BELOW** it today. \$3 already holds that restatements make absolute levels non-comparable across editions; a roll discontinuity does the same thing to a continuation series. **The correct statement is therefore not that Brent has never closed above \$95 since the channel was cut to 2 on 3 July. It is that the last two closes above \$95 sit on the far side of a July roll on which the active contract never cleared the trigger, and that every distance quoted in this edition is measured on the current, post-roll basis**. The implication for the reader is that the **\$3.38 and \$3.03 active-contract gaps quoted here are the tighter and more conservative measure, and the \$5.21 scored gap is the one the rule is actually written against**. This is recorded as an open methodological item rather than resolved in a single edition.

(2) US inflation impulse — held at 5/5; the downgrade gap narrowed for the first time in three editions

(i) 5Y5Y closed **2.3106%**, down 1.01 bp, **a fourth consecutive close above the 2.30% level whose sustained break fired this channel 4→5 on 31 July**. BE10 closed **2.3078%**, essentially unchanged, and 5.09 bp above the 2.2569% pre-war anchor; the restated 18 August close of 2.3097%, 5.28 bp above the anchor, remains the highest since 15 June. (ii) The documented downgrade is a sustained close at or below the 2.142% anchor, **16.86 bp lower — narrowed from 17.87 on the restated 18 August close, its first narrowing in three editions**. \$9.16 and \$9.26 continue to govern: the firing trigger and the downgrade are 16.86 bp apart by design, the gap is reported rather than closed, and the rule is not moved to match the tape. **The tell in Wednesday's session is that inflation compensation did NOT fall with nominal yields**. The 30-year fell 9.15 bp and BE10 fell 0.19; almost the entire move was real yield and term premium. **A buyback changes who holds the duration. It does not change what the strait is doing to the price of diesel**. (iii) Sustained closes at or below 2.142% take the channel to 4 and the score to 26. Nothing else moves it.

(3) Treasury stress — held at 5/5; both legs converged for the first time since 13 August

(i) The 30-year closed **5.1911%**, down 9.15 bp — **the second-largest one-day fall of the war and the first close below 5.20% since 5 August** — and 11.49 bp below Monday's war high of 5.3060%, which is **the largest two-session fall the war has produced**. MOVE fell 3.72 to **71.26**, back below both the 75 threshold and the 73.38 pre-war anchor. (ii) The downgrade needs the 30-year below 5.00% **with MOVE below 75, sustained**. **The volatility leg is satisfied, as it also was on Tuesday at 74.98 — but by a 3.74-point margin rather than by two hundredths of a point**. **The 30-year leg fails by 19.11 bp — narrowed from 28.26 and the narrowest since 5 August**. \$9.15 has documented these two legs rotating rather than converging through most of the last six weeks, and last edition recorded the first session in which both moved AWAY at once. **This is the reverse: both moved toward the downgrade in the same session**. It is still not close, and \$9.18 is the governing precedent — a satisfied leg has lapsed after exactly one session twice in this war, on 5 and 7 August. **The reason not to read this as de-risking is the cause**. The 30-year did not fall on demand for duration; it fell because the Treasury announced it would buy at least twice as much of it. (iii) A sustained 30-year below 5.00% with MOVE below 75 takes the channel to 4 and the score to 26. On these levels that requires another 19 bp.

(4) Political stress — held at 5/5; the scored series backfilled UP to its highest since 8 June

(i) AUTMUSAG **backfilled to \$4.79 for 18 August** — a print the last edition did not have, the highest since 8 June (\$4.80), and four cents above the \$4.75 trigger that fired this channel to 5 on 4 August. No print for 19 or 20 August. AAA's own national averages, a different and unscored construction, put regular at **\$4.0860** and diesel at **\$5.5042** on 19 August, the latter a new war high and 31.17 cents below the all-time record. (ii) The named downgrade condition — three consecutive closes at or below \$4.60 with no intervening print above \$4.70 — is **19 cents away and has WIDENED from 17**. \$9.30 was written a fortnight ago after two dark sessions backfilled upward and reversed an apparent downgrade candidate; **it has now happened again, in the same direction**. The transmission is intact and running through the distillate barrel: diesel is up 14.7 cents on the week against gasoline's 5.0. (iii) The named condition, met three times running, takes the channel to 4 and the score to 26.

(5) Maritime denial and (6) Escalation risk — both held at 5/5, and both are scale-capped

Neither channel can rise. **\$4(c) applies and must be stated plainly: further deterioration in the physical or political situation cannot raise this score, so a flat number is an artifact of the scale rather than a statement about stability.** The window itself was physically quiet — **no Update 087, no new numbered incident, no CENTCOM release and no kinetic event anywhere dated 19 or 20 August** — while the economic front escalated sharply: **the UAE halted all trade, commercial exchanges and financial transactions with Iran until further notice**, removing what Bloomberg describes as a key economic lifeline and what had quietly become Iran's largest trading relationship. Iran's response was rhetorical — Baghaei called the missile accusation **'baseless'** and floated a false-flag — and its most forward-leaning act in the window was Ghalibaf's three-day Baghdad visit, in which he described Iraq's Iran-backed militias as **'a key component of the country's national power'** whose influence **'has gone beyond the borders of the two countries'**. **An embargo is not a kinetic event and is not scored as one (\$9.11); it is scored as what it removes from the negotiating space.**

2.2 · Stage-4 thresholds

Threshold	Test	State on the 19 Aug close
A — auction failure	A coupon auction clearing with a tail above its when-issued level (\$9.33). Reference: the 13 May 30-year, cleared 5.050%; the 13 August 30-year, cleared 5.216%	DOES NOT ARM, and the reason is sourcing rather than judgement: the tail is not established. Treasury's own results page could not be retrieved, the bid composition and the tail are single-sourced to one Tier 2 outlet, and this document does not arm a threshold on a figure it will not assert (\$9.29). The \$16bn 20-year auction on 19 August cleared 5.204%, the second-highest 20-year auction yield since the tenor was reintroduced in 2020 (the record is 5.245%, October 2023), and is reported to have tailed 0.5 bp — the same tail as the 22 July 20-year, which did not arm A either. If the 0.5 bp figure is confirmed by a primary source, A's written test is met on its face and the threshold must be revisited — that is stated here rather than disposed of by calling the tail immaterial. \$9.29 says read the bid composition, and the composition is where the deterioration is: bid-to-cover 2.53 and indirects 62.9%, both reported as the lowest since February against a recent indirect average of 66.7%, with directs at 24.6% taking up the slack and dealers at 12.5%. Provenance: the \$16bn size is Bloomberg and the 5.204% clearing yield is Reuters; the bid composition and the tail are neither. Reuters independently describes 'mediocre demand, with a softening bid-to-cover ratio and elevated yields', which corroborates the direction but not the numbers. No tail is asserted as fact. Context: the 30-year closed 2.49 bp BELOW the 13 August stop and 14.11 bp above the 13 May stop. The 30-year TIPS reopening, \$8bn, auctions on 20 August, after this snapshot
B — 30Y above 5.20% with 10Y above 4.65%	Both legs, on confirmed closes	LAPSED on the 19 August close, and by the narrowest margins of the war on both legs simultaneously: the 30-year fails by 0.89 bp and the 10-year by 0.34 bp. This is the FOURTH lapse and the eighth state since 29 July — in 29 Jul–3 Aug, out 4–5 Aug, in 6 Aug, out 7 Aug, in 10–12 Aug, out 13 Aug, in 14–18 Aug, out 19 Aug. Four armings, four lapses. Count armings, not cycles. The arming that just ended ran three closes and was the longest since 10–12 August. \$9.18 is the governing precedent and it cuts against reading anything structural into this: B has re-armed within one session before. The inference that has held since 13 August still holds — 4.65% and 5.20% are the middle of the distribution, not its edge , and every one of the eight state changes has been decided by under 6 bp on one leg
C — MOVE above 130	On confirmed closes	71.26 on the 19 August close, 58.74 points below. The war high is 115.02 (26 March) and the series low is 65.39 (18 June), so this is NOT the furthest from C the war has been — the framing withdrawn on 17 August stays withdrawn (\$9.32). The pairing is the point: rate volatility is 2.12 points below its pre-war anchor while the 30-year sits 58.05 bp above its own , and on Wednesday the volatility fell because the issuer promised to absorb the supply

2.3 · The macro record the long end ignored, and the one it may have been reading

The FOMC minutes of the 28–29 July meeting were released at 2pm on 19 August and were hawkish. The meeting was a 9–3 hold at 3.50–3.75% in which **all three dissents — Hammack, Kashkari and Logan — were for a quarter-point HIKE**, the first three-way dissent since 2016; Bloomberg reports that Schmid and Musalem, non-voters in July, have since said they would have backed a hike had they been voting. **'Many' participants said tightening would likely be necessary if inflation did not decline**, and some judged that financial conditions might not be tight enough. **The minutes address this document's subject directly.** Participants attributed the rise in core and total inflation to 'the lingering effects of tariffs, supply chain disruptions related to the closure of the Strait of Hormuz, and strength in demand for some goods and services stemming from robust AI-related investment', and expected inflation to decline only **as those disruptions diminish.** On expectations the record is more comfortable than this document's own series: longer-term measures 'remained well anchored', and near-term inflation compensation moved up only marginally **despite the sharp increase in oil prices.** **The market treated the whole document as stale** — Jefferies' Simons said it 'now gives an outdated economic picture' given the July payrolls miss and an on-consensus July CPI. **September pricing has moved toward a hold: roughly 65% hold on a 19 August reading**, from something close to an even split a fortnight ago, which implies about **35% for a hike.** **That figure is from a secondary aggregator, not from CME directly, and no clean datestamped CME hike probability for 19 or 20 August could be sourced; the ~31% of 14 August is not carried forward. Nobody is pricing a cut.** No Fed speaker appeared on 19 August; Musalem was scheduled for 20 August, after this snapshot. **Jackson Hole runs 27–29 August on 'Financial Innovation: Implications for Payments and Policy', with Chair Warsh delivering his first keynote as chair on Friday 28 August;** he told reporters on 29 July that his remarks would address long-term structural questions rather than near-term guidance. **The Thursday 20 August releases — jobless claims, Philly Fed, existing home sales and leading indicators — all fall after this snapshot and none has an actual.** Atlanta Fed GDPNow was cut to 4.0% for Q3 on 18 August, from 4.3% on 14 August and 6.2% on 3 August. **On the energy side there was no new EIA, IEA, OPEC or OPEC+ release, statement or revision in the window;** the next OPEC+ meeting is 6 September, and the three figures this document carries survive unrevised — **effective OPEC spare capacity 0.07 mb/d, a 3Q26 deficit of 1.8 mb/d, and 8.3 mb/d of Gulf output shut in.** **The covert relay deepened rather than eased.** Bloomberg reported on 18 August that **Aramco is offering Arab Medium and Arab Heavy on a ship-to-ship basis from locations including Sohar in the Gulf of Oman**, currently only to some Chinese refiners, with satellite imagery showing at least 9 mn bbl of capacity loaded at or near Ras Tanura in a week; and on 19 August that **three China-linked VLCCs made U-turns near the strait** while two others crossed transponders-off. Kpler puts total crude on water in the Mideast Gulf and Gulf of Oman at **110 mn bbl on 18 August**, down from ~130 mn on 16 August and 165 mn at MoU signing, with **Iranian crude loadings collapsing from 893 kb/d in July to 156 kb/d through 17**

August. Vortexa told Reuters that **two Chinese shipping groups that carried half of China's Middle East oil imports pre-war have kept their tankers out of both Hormuz and Bab el-Mandeb since late July. Freight: the Baltic week-34 averages are not yet published; week 33 was VLCC \$234,821/day, Suezmax \$269,824/day and Aframax \$77,182/day. The TD3C MEG-China single-route index was assessed at about \$510,000/day for 17 August, its highest since late June, and is NOT comparable with the global VLCC average; no print for 18–20 August. War-risk cover still has nothing newer than Marsh's 7.5–10% of hull of 22 July, and the \$1.5–2bn claims estimate from about 70 casualties is unchanged. No Iran-related OFAC action was taken on 19 or 20 August — the only entry is an 18 August ICC and Venezuela package — and Bessent's trailed sanctions, promised for this week, have not issued. Separately, DOJ unsealed charges against 17 individuals tied to Iran's Mabna Institute over a cyber-theft campaign, and France announced on 19 August it will expel two Iranian embassy staff after Iran expelled two French diplomats on 17 August.**

3 · Shock score

Six channels, 0–5 each, summed 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · **22–30 crisis**. Market channels move only on confirmed closes; event channels move only on events, not announcements (\$9.11). Hysteresis is asymmetric by design: upgrades on a sustained break, downgrades only on a sustained reversal past a wider threshold.

Channel	Score	Basis for this edition	Move
1 · Maritime denial	5 / 5	Day 174. No Update 087, no new numbered incident and no kinetic event dated 19 or 20 August — the quietest physical window since 12–13 August. Cumulative count stays 91. Hormuz SEVERE, all threat levels held. The UKMTO annex still ends at 17 August with zero transits of any kind on both 15 and 16 August . 115-26 is identified as MINOAN DIGNITY and the fatality is confirmed by INTERCARGO; the vessel TYPE is disputed between UKMTO and the trade press. Kpler 6 on 18 Aug against a 10-day average of 11; nothing at all for 19–20 Aug from any provider.	held (at max)
2 · Oil price shock	2 / 5	Brent closed \$89.79 on 19 Aug, a fourth consecutive up-close and the highest since 31 July; the active contract closed \$91.62 , the highest since 24 July. \$5.21 below the \$95 upgrade and \$17.31 above the \$72.48 downgrade; \$3.38 on the active close and \$3.03 on the 20 Aug intraday active. The upgrade gap has narrowed in four consecutive editions.	held — and still closing
3 · US inflation impulse	5 / 5	A FOURTH consecutive 5Y5Y close above 2.30% , at 2.3106%, 1.06 bp clear. BE10 at 2.3078% is 5.09 bp above its pre-war anchor and did not fall with nominal yields. The 2.142% downgrade is 16.86 bp away, narrowed from 17.87 — its first narrowing in three editions . The July minutes name Hormuz twice as a cause of the inflation the Committee is fighting.	held (at max)
4 · Treasury stress	5 / 5	The 30-year fell 9.15 bp to 5.1911% — the second-largest one-day fall of the war, the largest two-session fall of the war, and the first close below 5.20% since 5 August — on a Treasury announcement that it will at least double long-end buybacks. MOVE 71.26 satisfies the volatility leg; the 30-year leg fails by 19.11 bp, narrowed from 28.26. Both legs converged for the first time since 13 August. Threshold B lapsed.	held (at max)
5 · Political stress	5 / 5	AUTMUSAG backfilled to \$4.79 for 18 Aug — the highest since 8 June and 4 cents above the \$4.75 trigger; no 19 or 20 Aug print. The \$4.60 condition is 19 cents away, WIDENED from 17 . AAA diesel made a new war high of \$5.5042 on 19 Aug, 31.17 cents below its all-time record; distillate stocks fell to 105.6 mn bbl, 13% below the five-year average .	held (at max)
6 · Escalation risk	5 / 5	The UAE halted ALL trade, commercial exchanges and financial transactions with Iran until further notice — the broadest economic instrument any Gulf state has used in this war and the first to reach financial transactions, aimed at what had become Iran's largest trading relationship. Iran called the missile accusation 'baseless' and alleged a false flag; Ghalibaf spent three days in Baghdad praising Iraq's militias. Against it: a 22-day gap in CENTCOM combat releases and no kinetic event in the window.	held (at max)
TOTAL	27 / 30	CRISIS band. Tenth consecutive edition at 27. Five of six channels are pinned at the top of the scale and the sixth, oil, is three points below it. The composite cannot register either of this window's two large developments — a Gulf state severing Iran's principal economic lifeline, and the US Treasury intervening in the price of its own long-dated debt — because one channel is capped and the other did not travel far enough to trip a rule. Read the composition, not the total (\$9.7, \$9.27).	27 → 27 → 27

4 · What has changed since the 19 August edition

1 · The US Treasury announced, outside the refunding cycle, that it will at least double long-end buybacks. The 19 August release raises the maximum size of liquidity-support buyback operations in the 10-to-20 year and 20-to-30 year sectors from **\$2bn to at least \$4bn per operation**, effective 9 September through 4 November, with an updated tentative schedule to follow. The stated rationale is to provide greater liquidity support in longer-dated sectors 'where there is consistent strong sponsorship from market participants'. **The 30-year had fallen 7.8 bp by 09:00 ET — before the auction and before the minutes — and closed down 9.15; the 2-year fell only 0.86 bp. The intraday level is Tier 2, and it is the sequencing, not the causation, that carries the argument.** That divergence is the whole story: this

was a pure duration/term-premium event and not a Fed repricing. Jefferies' Thomas Simons made the point that matters for the forward path — **because it did not come as part of the quarterly refunding, 'at any time in the future they could make more changes', and it raises expectations that long-end auction sizes could be cut.** 2 · **The 20-year auction was reported soft, its internals are unverified, and it moved the long end neither way.** \$16bn cleared at 5.204%, the second-highest 20-year auction yield since the tenor was reintroduced in 2020, with a reported 0.5 bp tail, bid-to-cover of 2.53 and indirects of 62.9%, both said to be the lowest since February. Treasury's own results page could not be retrieved and the internals are single-sourced to one Tier 2 outlet; no tail is asserted as fact (\$9.29). Reuters' independent characterisation — 'mediocre demand, with a softening bid-to-cover ratio and elevated yields' — corroborates direction, not numbers. 3 · **The FOMC minutes were hawkish and were treated as stale.** A 9–3 hold with three dissents for a hike, 'many' participants seeing tightening as likely necessary if inflation does not decline, and **two explicit attributions of current inflation to the closure of the Strait of Hormuz.** The market read them against a July payrolls miss and an on-consensus CPI and ignored them. 4 · **The UAE imposed an indefinite total trade and financial embargo on Iran.** Announced early on 19 August: **'All trade, commercial exchanges and financial transactions with Iran have been halted until further notice'**, in response to the two ballistic missiles fired at UAE territory on 18 August, which the UAE Ministry of Defence says were 'targeting maritime navigation'. **Dubai had become Iran's largest trading partner, supplying roughly a third of Iranian imports and providing its principal discreet financial channel.** The UAE suspended direct cargo shipping in March and resumed via Jebel Ali in late June, so this is a re-imposition and a widening, not a first. A named regional analyst told Al Jazeera it may matter more than the US embargo and that Tehran could read it as bordering on an act of war; he also expects other Gulf states to wait rather than follow. 5 · **Kpler reframed its own headline figure.** The 'more than 80% Omani' number that circulated from CNN on 18 August is, in Kpler's own 19 August publication, a **Dark/Unknown** share; the Omani corridor was 'effectively gone by Week 4' and its own weekly records **zero** route-confirmed Omani crossings in the week to 16 August. 6 · **The crude-imports test resolves to reversion.** EIA put imports at **6.6 mb/d** for the week to 14 August against a four-week average of 6.5; the 7.3 mb/d of the prior week was a one-week outlier. Commercial crude built 4.4 mn bbl to 428.8 mn, a third consecutive build, on refinery utilisation of 97.2%, the highest since September 2019. 7 · **The SPR is confirmed by EIA at 293.4 mn bbl, down 5.3 mn, the lowest since December 1982,** and the sub-300mn readings are no longer secondary-sourced. Distillate stocks fell 1.5 mn to **105.6 mn bbl, 13% below the five-year average** — a fresh weekly print superseding the 107.1 and 12% carried since 7 August, not a restatement. 8 · **The physical record is empty and that is itself the finding.** No Update 087, no incident 116-26, no CENTCOM release, no kinetic event, no blockade-tally revision past 64, no Iran-related OFAC action, no Bessent sanctions, no Iran–Oman joint declaration, no Omani statement on anything material, and no Hegseth statement. 9 · **Two data-integrity results.** The \$9.8 row check **clears decisively** — every populated field of the 19 August row differs from the published snapshot. And **the corrected \$9.35 passed its first live test:** the 5- and 10-year, flagged UNRESOLVED last edition because they printed identical to four decimals in a live row, were both carries, and settled 2.30 and 5.75 bp lower. 10 · **Corrections and retractions carried into this edition.** Distillate stocks and their five-year comparison are superseded by a fresh weekly print. The 18 August row was restated on five fields. **The '80% Omani' framing is not used. A widely indexed GCC statement on the missile launch is dated 1 March 2026, not August, and is rejected. A line attributing to Trump on 19 August a willingness to reopen talks 'at some point' could not be retrieved from the source page and is NOT used. The standing note that Ghalibaf is Speaker of the Majlis and not lead negotiator is now contradicted by AP and Al Jazeera, both of which call him chief negotiator in this window; the dispute is recorded rather than resolved.** The Houthi Jazan claim of 18 August is in its third day uncorroborated and is still a claim. The MoU lapse and the 64-vessel blockade tally were both re-verified at primary source and both hold.

5 · Scenario map

Scenario	Prob.	Description	Shift from 19 Aug and why
Deal collapse on terms	43%	Modal for a seventh consecutive edition. The strait stays shut not because talks failed to start but because the terms are irreconcilable: Iran demands sanctions relief, released assets, an end to the blockade and a halt to operations on all fronts; the US demands restored free passage, no nuclear weapons and no proxy funding, and is running a blockade to compel it.	+1 (42 → 43). The UAE has removed Iran's largest trading relationship and its principal discreet financial channel , which narrows the space in which any deal could be paid for. Trump reaffirmed on 18 August that no talks are under way or scheduled and that the blockade is in full force. Held to +1 because nothing in the window changed the terms themselves — the condition sets were already non-intersecting.
Return to full war	24%	Sustained US or Israeli strikes inside Iran resume, or Iran strikes US regional bases or Gulf states directly.	+1 (23 → 24). A total embargo by a Gulf neighbour removes an economic lifeline rather than a military one; a named regional analyst told Al Jazeera Tehran could read it as bordering on an act of war, and that is commentary, not an Iranian statement, and is weighted as commentary. More concretely, Ghalibaf spent three days in Baghdad describing Iraq's Iran-backed militias as a key component of national power whose reach 'has gone beyond the borders of the two countries'. Watched but NOT scored, and carrying no part of this shift: the FT reports, on two unnamed Iranian sources, that Iran has assessed striking US assets in Bulgaria and Cyprus and cutting subsea cables in the strait. Capped again by the strongest countervailing fact in the document: CENTCOM shows nothing on combat inside Iran since 29 July, now 22 days, and no kinetic event anywhere is dated 19 or 20 August.
Contained but violent	20%	Attacks continue on shipping and on Gulf energy infrastructure; the blockade persists; neither side crosses into sustained state-on-state strikes.	-1 (21 → 20). The window contained no kinetic event at all, which on its face argues for this cell. It is marked down anyway, because containment is now being maintained by economic instruments rather than by restraint — an embargo, a blockade, and a nightly escorted convoy corridor reported by Axios on two unnamed US officials and not independently corroborated — and every one of those is a mechanism whose failure mode is escalation rather than a return to normal.
Regional relapse	10%	The conflict widens through the Red Sea, Lebanon, Iraq or the Saudi energy complex rather than through the strait itself.	unchanged (10). Two offsetting groups. Arguing for a higher reading: Ghalibaf's Baghdad visit puts the Iraqi militia axis back in play, and France's expulsion of two Iranian diplomats widens the dispute into Europe. Arguing for a lower reading: no confirmed attack in the southern Red Sea in the period, nothing at all in Iraq or Lebanon, and the Jazan claim still uncorroborated on day three. Al-Mokha remains closed, which is a standing condition rather than a new one.
Mediated pause	3%	A negotiated de-escalation restores partial transit under a supervised regime.	-1 (4 → 3), a new low for this map. The Iran-Oman joint declaration has still not been issued and Qatar has made it the gate on everything else. Oman's foreign ministry published two items on 19 August and neither touched Iran; it has now been twelve days since any Iran or Hormuz item and thirty-seven since any Hormuz statement, through a fatality half a mile off its coast and the 17 August US threat to bomb it. The mediator is the actor with the least to say.

Probabilities sum to 100. **The two paths in which the strait stays shut carry 67% between them, UP from 65% — a second consecutive rise and the highest this map has recorded. The composition of the rise is the point: it came entirely from economic coercion, not from violence. The window produced no**

attack, no strike and no new incident, and the two paths that keep the waterway closed still gained two points, because a Gulf state cut Iran's largest trading relationship and Washington restated that nothing is scheduled.

6 · Watchlist · next 24–72 hours

1 · Whether the buyback rally holds, and the 30-year TIPS reopening that tests it. The \$8bn 30-year TIPS reopening auctions on **20 August, after this snapshot**, and is expected to produce the highest 30-year real auction yield since 2001. It is the first supply into a market that has just been told the issuer will buy at least twice as much long duration from 9 September. **\$9.18 is the governing precedent and it argues for caution in both directions: a satisfied downgrade leg has lapsed after exactly one session twice in this war, and Threshold B has re-armed within one session. B lapsed on 19 August by 0.89 bp and 0.34 bp — the narrowest margins of the war on both legs at once. A single close does not make a regime.** **2 · Whether Brent takes out \$95 — still the only live scoring question in this document. \$5.21 on the scored series, \$3.38 on the active close and \$3.03 on the 20 August intraday active, after four consecutive editions of narrowing.** The trigger requires **sustained closes, not a touch (\$4a).** **3 · Whether any other Gulf state follows the UAE.** The embargo is the broadest economic instrument the Gulf side has used and the first to reach financial transactions; the named expectation is that others wait rather than follow. Watch Saudi Arabia, Qatar and Bahrain, and watch for any Iranian retaliation beyond the 'baseless' denial and the false-flag allegation. **Also watch whether the UAE's own hydrocarbon and re-export channels are carved out in practice, which would tell you how binding it is.** **4 · Whether Iran acts on the 'few weeks' ultimatum for full US implementation of the lapsed MoU — reported by Reuters on 17 August from a senior Iranian official, alongside a declared 'fully offensive' posture and an explicit threat to break the blockade — and whether CENTCOM's combat silence breaks at 22 days.** Re-verify against the public-releases index every edition, not the news-articles index, which is stale to February (\$9.23). It is the single reason full war sits at 24% and not higher. **5 · UKMTO Update 087 and VRA Overview No.3.** Neither exists; the cumulative count has been frozen at 91 and the transit annex at 17 August for two editions. **Whether the two zero-transit days of 15–16 August were an anomaly or the run rate cannot be answered until the annex extends.** Update 081 is unretrievable for a sixth edition. **6 · Whether the Iran–Oman joint declaration is ever issued.** Qatar has made it the gate on all mediation. **Watch fm.gov.om, not Iranian spokesmen;** it would be the first Oman–Iran joint statement since 23 June. **7 · Jackson Hole, 27–29 August, and Warsh's first keynote as chair on Friday 28 August,** into a market pricing roughly a **65% chance of a September hold and 35% of a hike, with no cut priced at all —** an aggregator reading of 19 August, not a CME print. He has said he will address structural questions rather than near-term guidance. **8 · The Thursday 20 August US data —** jobless claims, Philly Fed, existing home sales and leading indicators — **all of which fall after this snapshot,** and the next Atlanta Fed GDPNow revision from 4.0%. **9 · Bessent's sanctions, promised for this week and still undelivered.** Watch the OFAC recent-actions page, not the rhetoric. The last Iran-related actions are 7 and 29 July. **10 · Whether the AUTMUSAG series prints again at all.** It has been dark for two sessions after backfilling up to a two-month high, and the DOE corroboration does not publish until 25 August.

7 · Source log

Tier	Source	Used for
Tier 1 · market data	Bloomberg extract 'US Iran BBG Data.xlsx', refreshed 20 Aug 2026	All price, yield, volatility and gasoline series. 168 raw rows × 99 columns; header row scanned rather than hardcoded. Front-month auto-detect resolved CO2/CL2; DXY resolved as 'DXY Index'. The 27 Feb anchor was re-verified field by field and is unchanged. The \$9.8 row-level check CLEARS decisively and the corrected \$9.35 field-level check raises NO flags on any of the last three rows. SOFR and AUTMUSAG backfilled for 18 August and are reported as new prints. The 18 August row was restated on the 10Y, 30Y, 2s10s, BE10 and 5Y5Y.
Tier 1 · US official	US Treasury press release SB0607 (19 Aug); TreasuryDirect tentative auction schedule; Federal Reserve FOMC minutes of 28–29 July (released 19 Aug); EIA Weekly Petroleum Status Report, week ending 14 Aug (released 19 Aug); Atlanta Fed GDPNow (18 Aug); OFAC recent actions; DOJ (18 Aug)	The buyback expansion and its terms; the 30-year TIPS reopening schedule; the 9–3 hold, the three hike dissents and the two Hormuz attributions; crude, gasoline, distillate and SPR levels, the crude-imports line and refinery utilisation; Q3 GDP tracking; the absence of any Iran-related sanctions action; the Mabna Institute charges. Treasury's own 20-year auction results page could not be retrieved and the auction internals are NOT Tier 1.
Tier 1 · maritime and military primary	UKMTO/JMIC Update 086 (ICOD 181500Z) and its annex, re-fetched 20 Aug; UKMTO VRA Overview No.2 (14 Aug); centcom.mil public-releases index, read 20 Aug; fm.gov.om news and statements indexes, both read 20 Aug	Cumulative count 91, incident 115-26, threat levels, the Hormuz and Bab el-Mandeb transit annex to 17 Aug, the NCAGS 48-hour figure, Al-Mokha's closure, the five held vessels, and the CENTCOM blockade tally of 64. The 22-day gap since the last combat release inside Iran was verified against the public-releases index, not the news-articles index, which is stale to February 2026. Oman's publication record was queried on four separate questions and each answer is stated with its query (\$9.23).
Tier 1 · news	Reuters (19 Aug, oil and rates); Bloomberg (18–19 Aug, dollar, Aramco STS, VLCC U-turns, diesel, UAE); Al Jazeera, Washington Post, Reuters and Euronews (19 Aug, UAE embargo); AP (19 Aug, Baghaei and Ghalibaf); CNN (18 Aug, Kpler route share); Axios (19 Aug, convoy corridor); CNBC; Financial Times (18 Aug); gasprices.aaa.com, read directly	The named attribution for the oil rally and for the dollar fall; the UAE embargo text and the UAE MoD characterisation of the missiles; Iranian statements; the route-share story and its reframing; throughput claims; retail gasoline and diesel. The FT report that Iran has assessed strikes in Bulgaria and Cyprus and against subsea cables rests on two unnamed Iranian sources and is recorded, not scored.

Tier	Source	Used for
Tier 1 provider · commercial data	Kpler (blog, 19 Aug, and via Reuters); Vortexa via Reuters (19 Aug); Baltic Exchange week 33 (14 Aug); Marsh via S&P Global (22 Jul)	Transit counts with their own denominators, the Dark/Unknown route share, crude-on-water and floating-storage series, Iranian loadings, the Chinese carrier withdrawal, tanker earnings, and war-risk premia. Kpler's preliminary dailies revise upward and no day-on-day delta is computed off a same-day print.
Tier 2 · secondary and trade	Windward MIOC (19 Aug); TankerMap; IMF PortWatch; UANI (19 Aug); Maritime Executive and INTERCARGO (18 Aug); the single outlet carrying the 20-year auction internals; CME FedWatch via aggregators; DTN and Trading Economics; straits.live	Vessel identification for 115-26, dark-transit and jamming counts, floating-storage vessel counts, the auction bid composition, September Fed pricing, and settlement colour. Every figure in this row is labelled Tier 2 in the text where it is used. The auction internals are single-sourced. The ~65% September hold reading is from an aggregator and not a CME print. straits.live's war-risk figure is its own model, not a broker quote, and is not carried.
Tier 3 · state media	SABA (18 Aug, Jazan claim); IRNA (17 Aug, French diplomats); Tasnim, IRIB and Defa Press by reference only	Nothing in this edition is scored off a Tier 3 source. The Houthis claim to have struck Jazan on 18 August is in its third day without Saudi, Aramco or Tier 1 corroboration and is carried as a claim only, unlike the confirmed 9 and 13 August strikes.
Rejected, withdrawn or unresolved this edition	Listed for audit	'More than 80% Omani' — the provider's own next-day publication makes it a Dark/Unknown share with zero route-confirmed Omani crossings; not used. A GCC statement on the missile launch — the indexed article is dated 1 March 2026; rejected. A line attributing to Trump a willingness to reopen talks 'at some point' on 19 August — could not be retrieved from the source page; not used. The '91 vessels redirected' caption on CENTCOM's media page — irreconcilable with its own 64; still not used. A 5.047% / \$16bn 20-year auction result — that is the 21 May 2025 auction; rejected again. A '19 August' Windward transit block — the page is explicitly headed 18 August; the attribution is a misreading of a publication date. The standing note that Ghalibaf is not lead negotiator — contradicted by AP and Al Jazeera in this window; the dispute is recorded, not resolved. The DOE weekly retail values of \$4.049 and \$5.454 — could not be re-verified outside the terminal and are carried with that flag. Also unresolved: the pre-2026 diesel-crack record (\$89 or \$86.82) and the distillate-stocks comparison (since 1996 or since 1998). Carried forward: the 'two VLCCs, 4 mn bbl at Kharg' March-vintage post; Türkiye Today and Seoul Economic Daily on a Hormuz toll law (March); gCaptain's 'Hormuz Is Reopening' (16 Jun); Axios on a 'Hormuz Coalition' (16 Mar).

8 · On-demand update protocol

#	Step	Detail
1	Refresh and integrity-check the extract	Scan the header row rather than hardcoding columns; auto-detect the Brent and WTI front month. Run the row-level stale check (\$9.8) by diffing the prior row against the figures published for it, and the field-level check (\$9.35) for values identical to four decimals. This edition: the row check CLEARS decisively, the field check raises NO flags, and two series — SOFR and AUTMUSAG — backfilled for 18 August and are reported as new prints rather than carried (\$9.10).
2	Compute deltas and test every trigger explicitly	d/d against the last confirmed close, w/w against five sheet-rows back, and vs the 27 Feb anchor re-verified field by field. Test all four market channels and Stage-4 A, B and C on the confirmed close only, and record the distance in basis points or dollars so the direction of travel is visible edition to edition. Run min, max and last-prior-occurrence queries on the full series before writing any superlative (\$9.32) — fourteen were checked this edition and two were narrowed before printing.
3	Verify the news on both tracks and re-verify what was inherited	Military and diplomatic on one track, shipping, energy and macro on the other. Re-run negative claims every edition they are repeated (\$9.23) — absence-of-evidence decays faster than positive facts. State the exact query alongside the answer. Where several trackers disagree, publish every number with its denominator and take no average (\$9.24). Where a provider reframes its own figure, follow the provider, not the outlet that carried it.
4	Reconcile the previous snapshot and withdraw conclusions by name	The Singapore-morning cut regularly misses the US session, in either direction and sometimes in both at once. This edition records the largest long-end reconciliation gap the monitor has produced — 9.68 bp on the 30-year — and the first in which the snapshot OVERSTATED yields. Report the gap on every asset, and where the previous edition built a narrative on the snapshot, withdraw the conclusion explicitly rather than quietly restating the number (\$9.20).
5	Score on confirmed closes, with hysteresis, and explain the composition	Never move a market channel on an intraday print; never whipsaw on a single session; never move a downgrade rule to match the level that fired the upgrade. When the scale is saturated, say so — the total registers neither deterioration nor improvement (\$9.7, \$9.27), so the analysis has to carry what the number cannot. This edition: a Gulf state severed Iran's largest trading relationship, the US Treasury intervened in its own long end, and the score is flat at 27 for a tenth time.

9 · Methodology

Data. All market series come from a single Bloomberg extract refreshed by the user each working day. The sheet is parsed by scanning its header row rather than by column position, because tickers are relabelled and columns inserted between uploads; the Brent and WTI front months are auto-detected and DXY resolves as an index rather than a currency label. **The latest row is an intraday snapshot taken on the Singapore morning; the row before it is the last confirmed close, and every score test in this document runs on the confirmed close.** History is restated by the vendor from time to time — the 18 August row was restated on five fields this edition — so absolute levels are not comparable with pre-restatement editions while directional analysis is continuous. **Two integrity checks run every edition.** The row-level check (\$9.8) diffs the prior row against the figures published for it; if they match to four decimals the row never refreshed and the

confirmed-close reference steps back a day. The field-level check (§9.35) treats any field printing identical to four decimals against the previous session as UNRESOLVED, and asserts no day-on-day change for it, **regardless of whether the row around it is live**. That rule replaced a weaker one on 19 August after the weaker one concealed a war high in the 30-year, and it passed its first live test in this edition: the 5- and 10-year, both flagged unresolved last time, settled 2.30 and 5.75 bp lower. **Missing prints are labelled, never carried forward as if fresh, and re-checked the following edition for backfill** — a check that recovered two series this edition. **Scoring**. Six channels, each 0 to 5, summed to 0–30. Two channels are event-driven and four are market-driven. **Market channels move only on confirmed closes, never on an intraday print**, and event channels move only on events, not on announcements: a declared posture, an agreed-but-unissued declaration or a trailed sanctions package is not an event (§9.11). **Hysteresis is asymmetric by design**. An upgrade fires on a sustained break of a stated level; the corresponding downgrade requires a sustained reversal past a wider one. That property has three times in the last month held a channel through a single-session move that reversed within 48 hours, and the cost of it is visible in this document: the US-inflation channel fired on a 2.30% break in the 5-year-five-year forward and its documented downgrade sits 16.86 bp lower at the pre-war anchor. **The gap is reported rather than closed, and the rule is not moved to match the tape** (§9.16, §9.26). **Where a downgrade condition proves untestable in practice it is replaced with a named, testable one that is wider than the level which fired the upgrade**, and the change is recorded here — as with the political-stress condition of three closes at or below \$4.60 with no intervening print above \$4.70. **The saturation problem**. Maritime denial and escalation risk have both been at 5 since early July. **Further deterioration in either cannot raise the total, so a flat score is an artifact of the scale rather than a statement about stability** (§9.7). The same failure runs in reverse: on 14 August every financial measure in the document improved and the total did not move a point, because none of it met a documented downgrade rule (§9.27). **This edition is a third variant of the same problem** — a Gulf state severed Iran's largest trading relationship and the sovereign intervened in the price of its own long-dated debt, and neither could register. Read the composition. **Sourcing**. Every factual claim carries an attribution and a tier. State media is labelled Tier 3 and is never used for anything market-moving without Tier 1 corroboration. **Negative claims — that a source has published nothing, that no event occurred — are re-verified at source every edition they are repeated, with the exact query stated** (§9.23), because an absence-of-evidence claim is falsified by any single publication. **Where several trackers disagree, every number is published with its own denominator and no average is taken** (§9.24); this edition carries seven separate Hormuz transit series and three irreconcilable throughput claims, all presented side by side. **Superlatives are checked against the full series before they are written, not after** (§9.32), and inherited claims are re-verified on the same schedule as new ones (§9.13). **Where the previous edition built a conclusion on a snapshot that the close then contradicted, the conclusion is withdrawn by name** (§9.20, §9.31) — a discipline that applies with more force to an improvement narrative than to a stress one, because an improvement narrative is the one a reader wants to believe. **That is the reason this edition leads on the cause of a 9 bp rally rather than on the rally**.